

INSURANCE AND PENSIONS COMMISSION



FOURTH QUARTER REPORT

FOR

SELF ADMINISTERED PENSION FUNDS

FOURTH QUARTER ENDED 31 DECEMBER 2013

1.0 Table of Contents

	Table	Graph	Page
Industry Overview	2.2		3

Standalone Funds

The Number of Standalone Self Administered Pension Funds	1		5
Membership Statistics	2	1	6
Contributions	3	2	7-9
Income and Expenditure	4	3	10-11
Fund Assets	5	4	11-13

Insurer Administered Funds

The Number of Insurers	1		15
Membership Statistics	2	1	15-16
Contributions	3	2	16-17
Income and Expenditure	4	3	18
Fund Assets	5	4	19

Fund Administrators

The Number of Fund administrators	1		21
Membership Statistics	2	1	21-22
Contributions	3	2	22-23
Income and Expenditure	4	3	23-24
Fund Assets	5	4	25

Legislation Amendments			26
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Conversion Audit			26
------------------	--	--	----

Conclusion			26
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2.0 Industry Overview

This report is based on returns submitted by 15 standalone funds, 4 fund administrators and 4 life assurers for the current reporting period.

For the current reporting period, self-administered funds reported a 38% growth in contributions to close the year 2013 at \$392million(December 2012:\$284million).However 43% or \$170million of the contributions were in arrears(December 2012:43% or \$122million).

The fund administrators' industry reported total contributions received in the sum of \$222million (December 2012:142million) and total expenditure (net of benefits) of \$51million reflecting a 23% contribution to expense ratio. Total costs were 1,11 times bigger than total benefits paid

Total asset grew from \$1,5billion reported previously to \$1,8billion at year end which was shared as follows: standalone funds(\$1billion or 62%),fund administrators (24% or \$434million) and insurer – administered funds(\$255million or 14%). Funds invested 2% of their assets on prescribed paper which IPEC expects players to increase to at least 10% as paper availability improves(See Table 2.2below).

2.2 Financial Summary for Self Administered Funds for the year ended 31 December 2013

Item	Standalone Funds			Insurer Administered			Fund Administrators			TOTALS		
	Dec 2012	Dec 2013	%	Dec 2012	Dec 2013	%	Dec 2012	Dec 2013	%	Dec 2012	Dec 2013	%
Arrear Contributions (\$000)	100,452	124,161	24	11,049	20,974	90	10,685	24,917	133	122,186	170,052	39
Total Contributions (Incl.Arrears)(\$000)	191,165	215,972	13	48,374	69,474	44	44,157	106,854	142	283,696	392,300	38
Total Contributions (Excl. Arrears) (\$000)	70,713	91,811	30	37,323	48,500	30	33,472	82,027	145	141,508	222,338	57
Total Income (\$000)	99,436	153,926	55	61,088	80,584	32	60,835	120,640	98	221,359	355,150	60
Total Benefits	47,413	5,848	-	13,344	18,827	-	17,788	21,850	23	78,545	46,525	(41)
Total Expenses (\$000)	16,097	17,112	6	6,637	15,562	134	18,245	18,760	3	40,979	51,434	26
Net Income(\$000)	35,926	136,814	281	41,107	65,022	58	24,802	101,880	311	101,835	303,716	198
(Expense/Contributions)%	18%	19%	1%	18	32	14%	55	23	32	27%	23%	(4)
(Expense/Total Income)%	16%	11	(5 %)	11%	19	8%	30	16	(14%)	19%	14%	5%
Total Assets (\$000)	965,431	1,142,071	18 %	191,181	255,093	33%	355,009	432,716	22%	1,511,621	1,829,880	21
Prescribed Assets (\$000)	6,258	21,871	249	3,151	4,646	47%	12,636	6,392	(49%)	22,045	32,909	49
Prescribed Asset Ratio (%)	1	2	1	2	2	-	4	2	(2)	1	2%	1



SECTION A

STAND ALONE FUNDS

3.0 The Number of Standalone Self-Administered Pension Funds

This report is based on 15 standalone funds (See Table 1, below). Funds which failed to submit their returns on time were fined in terms of the act.

Table 1: Standalone Self-Administered Pension Funds

Fund Name	Dec 2013
Catering Industry Pension Fund	1
Clothing Industry Pension Fund	1
Communication and Allied P/Fund	1
Construction Industry P/Fund	1
Local Authorities Pension Fund	1
Mining Industry Pension Fund	1
NRZ Pension Fund	1
Pentact Pension Scheme	1
ZB Financial Holdings P/Fund	1
ZMDC	1
ZESA Pension Fund	1
GMB	1
Zimpapers	1
Motor Industry	1
Aon Zimbabwe P/F	1
Zimbabwe Defence Industries P/F	*
TOTALS	15

*Returns not submitted

4.0 Pension Fund Membership

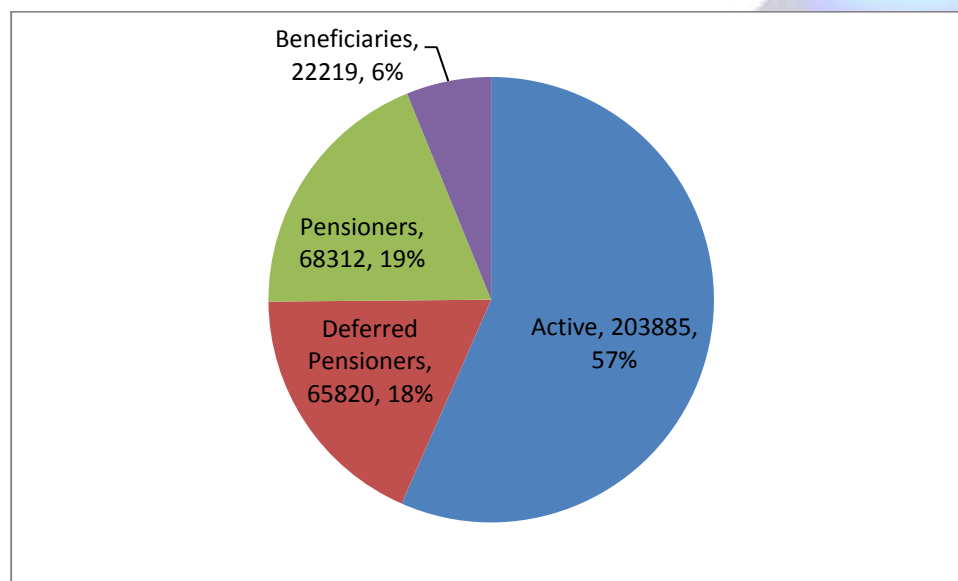
Total fund membership rose by 25% from the prior year to 360 000 partly due to previously errant funds submitting their quarterly return .Active members contributed 57% or 204 000 (December 2012:69%), deferred pensioners remained flat at 18%, pensioners numbered 68 000 or 19%(December 2012: 6%) whilst the balance of 6% or 22000 was made up of beneficiaries (See Table 2 and Figure 1, below).

Table2: Membership per Standalone Fund for the quarter ended 31 December 2013

Fund Name	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth
Catering IPF	16639	17018	2%	166	717	332%	80	48732	60815%	1	-	-	*	-	-	16886	66467	294%
Clothing IPF	11424	12421	9%	432	9922	2196%	0	-	-	0	-	-	(512)	(411)	(20%)	11856	22343	88%
CAIPF	3574	3424	(4%)	2342	4093	75%	1031	1321	28%	2918	2850	(2%)	(131)	(230)	76%	9865	11688	18%
CIPF	56969	57700	1%	5586	5438	(3%)	36	61	69%	84	113	35%	(341)	(548)	61%	62675	63312	1%
LAPF	20363	19989	(2%)	-	-	-	4082	4159	2%	7804	7664	(2%)	(148)	(154)	4%	32249	31812	(1%)
MIPF	29237	29770	2%	41368	41450	-	6389	7396	16%	1127	1243	10%	(2979)	(2352)	(21%)	78121	79859	2%
NRZ	7149	6999	(2%)	1426	1829	28%	5656	5486	(3%)	7973	8711	9%	(213)	(200)	(6%)	22204	23025	4%
Pentact	*	4	-	-	-	-	*	-	-	*	-	-	*	-	-	*	4	-
ZB FHGPF	*	993	-	-	838	-	*	144	-	*	897	-	*	(84)	-	*	2872	-
ZESA PF	6488	6623	2%	0	-	-	143	254	78%	72	120	67%	0	-	-	6703	6997	-
GMB	2066	2043	1%	928	699	(25%)	16	21	31%	0	-	-	(54)	(42)	(22%)	3010	2763	(8%)
Zimpapers	*	950	-	*	834	-	*	487	-	*	502	-	*	(3)	-	*	2773	-
Motor Ind	44567	45674	2%	0	-	-	122	189	55%	21	41	95%	(197)	-	-	44710	45904	3%
Aon Zim P/F	89	89	-	0	-	-	1	-	-	-	-	-	(1)	(4)	300%	90	89	1%
Zimbabwe D I	*	-	-	*	-	-	-	-	-	-	-	-	-	-	-	-	-	-
ZMDC	-	188	-	0	-	-	*	62	-	*	78	-	*	4	-	196	328	67%
Totals	198 919	203885	2%	52 248	65820	26%	17 616	68312	288%	20008	22219	11%	(4576)	(4024)	(12%)	288793	360236	25%

*Returns not submitted

Figure 1: Membership for Standalone Funds for the quarter ended 31 December 2013



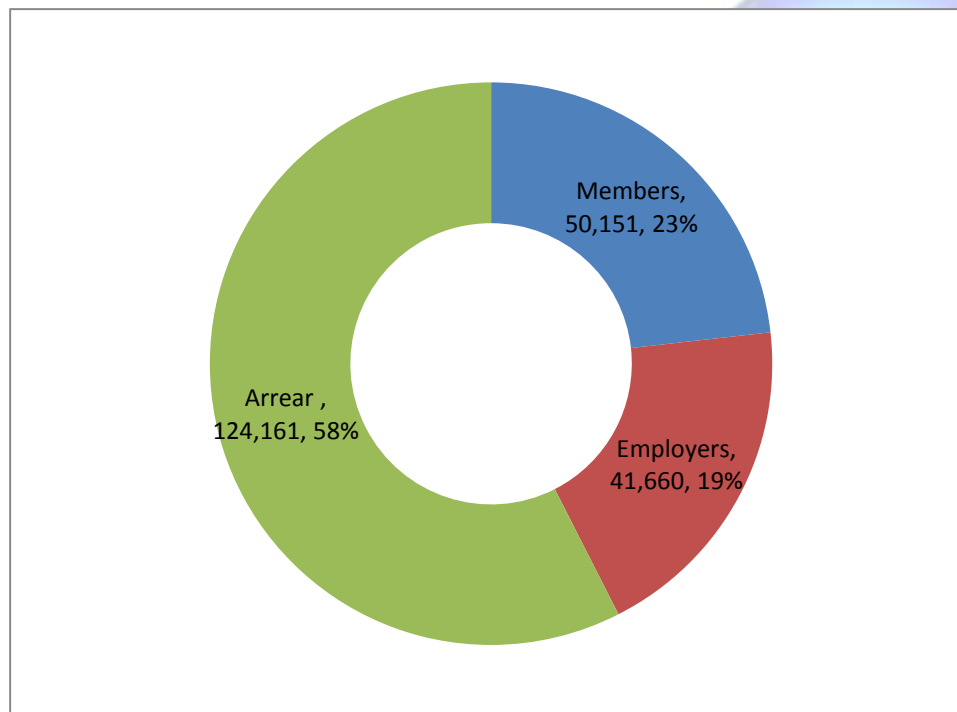
5.0 Contributions

Employers contributed \$42million or 19% of total contributions (December 2012:22% or \$41million) whilst active members paid \$50million or 23% of total contributions (December 2012:26% or \$49million). The Commission, however, noted that 58% of total contributions or \$124million was made up of arrears (December 2012:53% or \$100million) which employers attribute to liquidity challenges in the economy. IPEC will continue to engage stakeholders in an effort to rectify such a challenge (See Table 3 and Figure 2, below).

Table 3: Contributions Statistics per Standalone Fund for the quarter ended 31 December 2013

Fund Name	Contributions(000)						Arrear Contributions(000)						Total Contributions(000)		
	Members			Employers			Members			Employers					
	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth
Catering IPF	1,184	1,242	5%	1,184	1,242	5%	-	-	-	380	381	-	2,748	2,865	4%
Clothing IPF	692	620	(10%)	969	868	(10%)	261	334	28%	366	807	20%	2,288	2,629	15%
CAIPF	2,590	1,870	(28%)	7,764	5,611	(28%)	768	1,528	99%	2,304	5,840	153%	13,426	14,849	11%
CIPF	2,280	2,226	(2%)	2,280	2,226	(2%)	-	-	-	513	288	(54%)	5,073	4,740	(7%)
LAPF	20,109	19,816	(1%)	7,245	6,844	(6%)	-	-	-	71,717	95,237	33%	99,071	121,897	(23%)
MIPF	14,812	15,446	4%	14,733	15,446	4%	-	-	-	3,342	1,216	(64%)	32,887	32,108	(2%)
NRZ	3,742	3,623	(3%)	-		-	-		-	13,530	-	-	17,272	3,623	(79%)
Pentact		1	-		1	-			-		-	-	-	2	-
ZB FHGPF	*	834	-		1,274	-		-	-		-	-	-	2,108	-
ZESA PF	1,028	2,051	100%	2,184	3,346	53%	0	3,494	-	5,192	5,701	10%	8,404	14,592	74%
GMB	503	475	(6%)	1,710	1,817	6%	2	166	8200	207	1,695	719%	2,422	4,153	71%
Zimpapers	*	443	-!	*	621	-	*	1,811	-	-	2,536	-		5,411	-
Motor Ind	1,957	1,350	(31%)	2,935	2,025	(31%)	-	713	-	1,813	1,812	-	6,705	5,900	12%
Aon Zim p/f	121	118	(2%)	184	192	4%	0	-	-	25	27	-	330	337	2%
Zimbabwe D I	16	-	-	31	-	-0	10	-	-	22		-	79	-	-
ZMDC	*	36	-	*	147	-		-	-		575	-		758	-
Total	49,215	50,151	2%	41,498	41,660	-	1,041	8,046	673%	99,411	116,115	17%	191,165	215,972	13%

Figure 2: Contributions Statistics per Standalone Fund for the quarter ended 31 December 2013(\$000)



6.0 Income and Expenditure

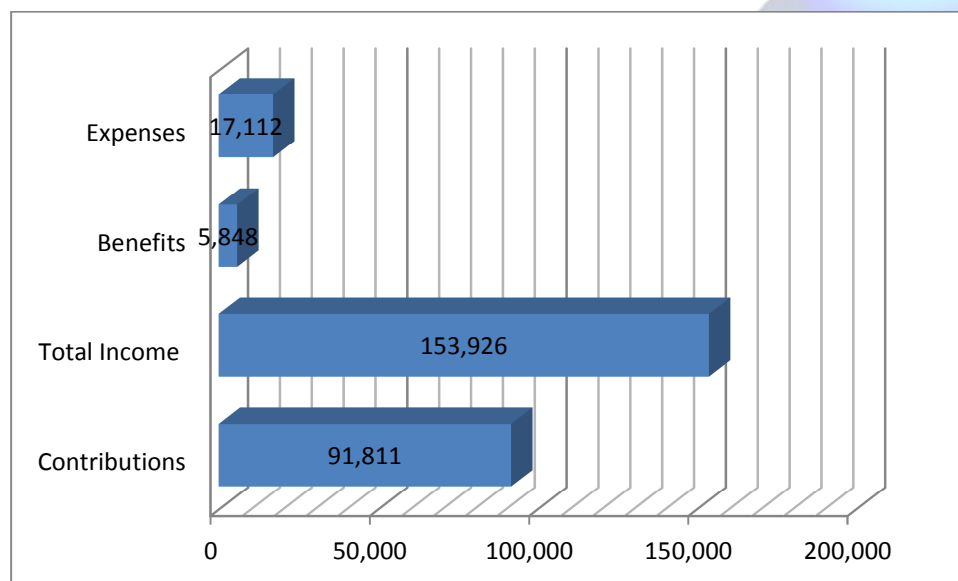
For the year under review, total contributions received by Standalone funds were \$92million against an expense bill of \$17million or cost to contribution and expense to total income ratio of 19% and 11% respectively.

Benefits disbursements at \$5million were approximately 3 times smaller than the cost bill .The Commission will continue to stress to pension funds to cut on their expenses in a bid to promote member benefits (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Standalone Fund for the third quarter ended 31 December 2013(\$000)

Fund Name	Total Contributions(Excl arrears)(000)			Total Income (000)			Total Paid Benefits(000)			Expenses(000)			(Expenses/Contributions)			(Expenses/Total Income)%		
	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth
Catering IPF	2,368	2,484	5%	3,563	3,630	2%	486	560	15%	1,815	1,354	(25%)	77%	55%	(22%)	51%	37%	(14%)
Clothing IPF	1,661	1,488	(10%)	2,946	2,704	(8%)	602	680	13%	1,135	815	(28%)	68%	55%	(13%)	39%	30%	(9%)
CAIPF	10,354	7,481	(28%)	20,391	24,503	20%	8,601	11,671	36%	2,442	1,834	(25%)	24%	25%	1%	12%	7%	(5%)
CIPF	4,560	4,452	(2%)	6,112	6,493	6%	387	664	72%	2,052	2,545	24%	45%	57%	12%	10%	39%	29%
LAPF	27,354	26,660	(3%)	35,340	35,281	-	10,947	12,044	10%	1,891	2,341	24%	7%	9%	2%	5%	7%	2%
MIPF	29,545	30,892	5%	38,585	40,699	5%	12,911	12,549	(3%)	2,779	2,977	7%	9%	10%	1%	7%	7%	-
NRZ	3,742	3,623	(3%)	20,281	20,811	3%	11,860	17,251	45%	1,644	2,001	22%	44%	55%	(11%)	8%	10%	2%
Pentact	*	2	-	*	7	-	*	-	-	*	-	-	-	-	-	-	-	-
ZB FHGPF		2,108	-	*	na	-	*	na	-		na	-	-	-	-	-	-	-
ZESA PF	3,212	5,397	68%	*	5,665	-	*	235	-	*	431	-	*	8%	-	*	8%	-
GMB	2,213	2,292	4%	2,806	2,741	(2%)	78	48	(38%)	751	916	22%	34%	40%	6%	27%	33%	6%
Zimpapers	*	1,064	-	*	1,538	-!	*	634	-	*	486	-	*	46%	-	-	32%	-
Motor Ind	4,892	3,375	31%	6,902	8,529	24%	1,226	1,744	42%	1,320	1,254	(5%)	27%	37%	10%	19%	15%	(4%)
Aon Zim P/F	305	310	2%	425	608	43%	32	76	137%	170	86	(49%)	56%	28%	(28%)	40%	14%	(26%)
Zimbabwe D I	47		0	97		-	31		0	22		-	47%	-	-	23%	-	-
ZMDC		183	-		717	-		262	-		72	-	-	39%	-	*	10.0%	-
Totals	90,713	91,811	1%	99,436	153,926	55	47,413	5,848	-	16,097	17,112	6%	18%	19%	1%	16%	11%	(5%)

Figure 3: Income and Expenditure for Standalone Funds for the third quarter ended 31 December 2013 (\$000)



7.0 Fund Assets

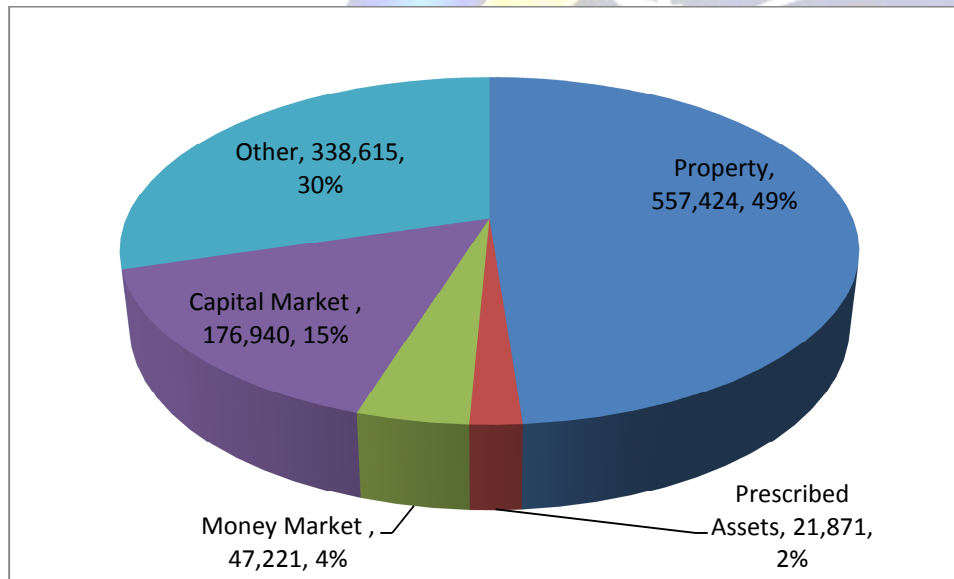
For the year ended 31 December 2013, invested assets for Standalone funds were staggered in properties {49% or \$557million:December 2012 :53% or \$51million}, equities {15% or \$177million:December 2012, 14% or \$136million}, money market {\$47million or 4%:December 2012:6% or \$57million} and other assets {30% or \$339million: December 2012:27% or \$256million}.

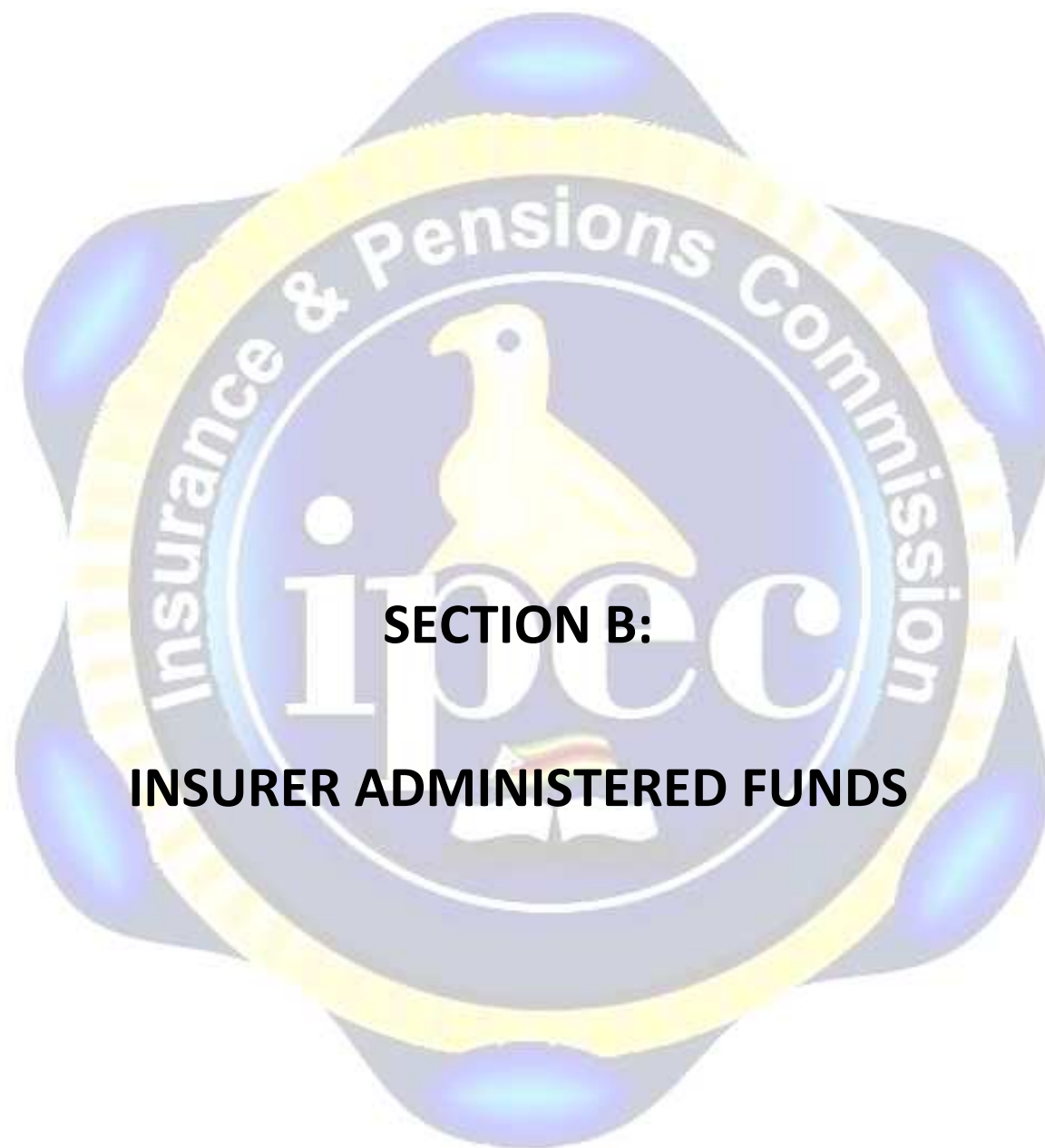
Funds must abide by the actuarial guidelines in conjunction with Circular No.1 of 2013 which introduced ceiling on per each asset class. Failure to comply by the set deadline will force the Commission to invoke the law and penalize offenders (See Table 5 and Figure 4, below).

Table 5: Fund Assets Market Value per Standalone Fund for the quarter ended 31 December 2013

Fund Name	Immovable Property(\$000)			Prescribed Assets(\$000)			Money Securities(\$000)			Capital Market Securities(\$000)			Other(\$000)			Total(\$000)		
	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth
Catering IPF	5,465	6,407	17%	36	46	28%	461	129	(72%)	4,611	4,850	5%	1,424	1,856	30%	11,997	13,288	11%
Clothing IPF	11,100	11,100	-	100	220	120%	1,193	1,273	7%	3,435	3,759	9%	1,472	1,239	(16%)	17,300	17,591	2%
CAIPF	83,771	85,221	2%	750	5,833	6685	6,503	8,643	33%	18,403	20,598	12%	18,985	25,995	37%	128,412	146,290	14%
CIPF	12,282	12,366	1%	100	66	(34%)	0	-	-	5,318	6,459	21%	2,010	3,935	96%	19,710	22,826	16%
LAPF	68,939	68,839	-	0	-	-	0	-	-	25,387	38,661	52%	76,100	99,697	31%	170,426	207,197	22%
MIPF	100,422	100,422	-	4,083	6,807	67%	10,040	5,559	(45%)	50,418	62,212	23%	4,642	2,003	(57%)	169,605	177,003	4%
NRZ	213,131	231,072	8%	0	507	-	19,923	17,773	(11%)	11,188	14,566	305	124,638	160,505	29%	368,880	424,423	15%
Pentact	*	-	-	-	-	-	-	-	-	*	7	-	*	225	-	-	232	-
ZB FHGPF	-	4,009	-	-	7,279	-	*	10	-	-	6,593	-	*	14	-	*	17,905	-
ZESA PF	7,736	19,163	147%	342	400	17%	10,500	6,000	(43%)	4,537	4,580	1%	23,780	30,657	29%	46,895	60,800	30%
GMB	2,886	8,599	198%	300	-	-	1,634	5	(100%)	177	34	(81%)	727	2,225	206%	5,724	10,863	90%
Zimpapers	*	2,394	-	-	13	-	-	11	-	*	1,096	-	*	4,442	-	-	7,956	-
Motor Ind	4,523	6,258	39%	483	633	31%	5,492	6,660	21%	10,981	12,247	12%	2,259	3,818	69%	23,738	29,616	25%
Aon Zim P/F	0	-	-	64	67	5%	386	542	40%	791	1,157	46%	102	50	(51%)	1,343	1,816	35%
Zimbabwe DI	21	-	-	0	-	-	29	-	*	165	-	-	132	-	-	347	*	-
ZMDC	*	1,574	-	-	-	-	-	616	-	-	121	-	-	1,954	-	*	4,265	-
Totals	510,276	557,424	9%	6,258	21,871	249%	56,607	47,221	(17%)	135,980	176,940	30%	256,310	338,615	32%	965,431	1,142,071	18%

Figure 4: Fund Asset Values for Standalone Funds for the quarter ended 31 December 2013\$(000)





SECTION B:

INSURER ADMINISTERED FUNDS

1.0 The Number of Insurer Self-Administered Pension Funds

This report covers 32 funds administered by 4 insurers (See Table 1, below).

Table 1: Fund Administrators

Insurer	Dec 2012	Dec 2013	Increase Funds
First Mutual	6	5	(1)
Old Mutual	23	24	1
Altfin	-	1	-
Zimnat	-	2	-
TOTALS	29	32	3

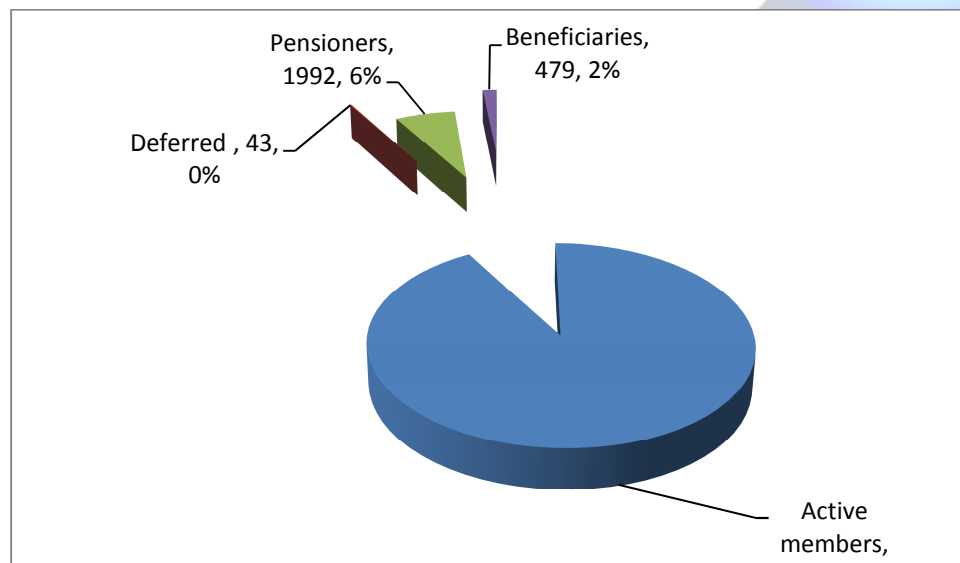
2.0 Pension Fund Membership

For the year ended 31 December 2013, total fund membership for insurer administered funds was 309 000 (December 2012:21000),a 43% growth from the previous year. Active members numbered 28 000 or 92%(December 2012: 19 100 or 92% of total membership), pensioners 6% or 2000(December 2012:6% or 1300) and the minority made of beneficiaries and deferred members (See Table 2 and Figure 1, below).

Table 2: Membership for Insured Self Administered Pension Funds for the quarter ended 31 December 2013

Insurer	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth
First Mutual	3686	5240	42%	-	-	-	20	23	15%	24	18	(25%)	(134)	(137)	2%	3730	5281	42%
Old Mutual	15408	22591	47%	17	43	153%	1297	1872	44%	358	461	(29%)	(141)	(501)	255%	17080	24967	46%
Altfin	-	411	-	-	-	-	-	-	-	-	-	-	-	(4)	-	-	411	-
Zimnat	-	143	-	-	-	-	-	97	-	-	0	-	-	-	-	-	240	-
Totals	19094	28385	49%	17	43	153%	1317	1992	515	382	479	25%	(275)	(642)	133%	20810	30899	48%

Figure 1: Membership Statistics for Insured Self Administered Funds for the quarter ended 31 December 2013



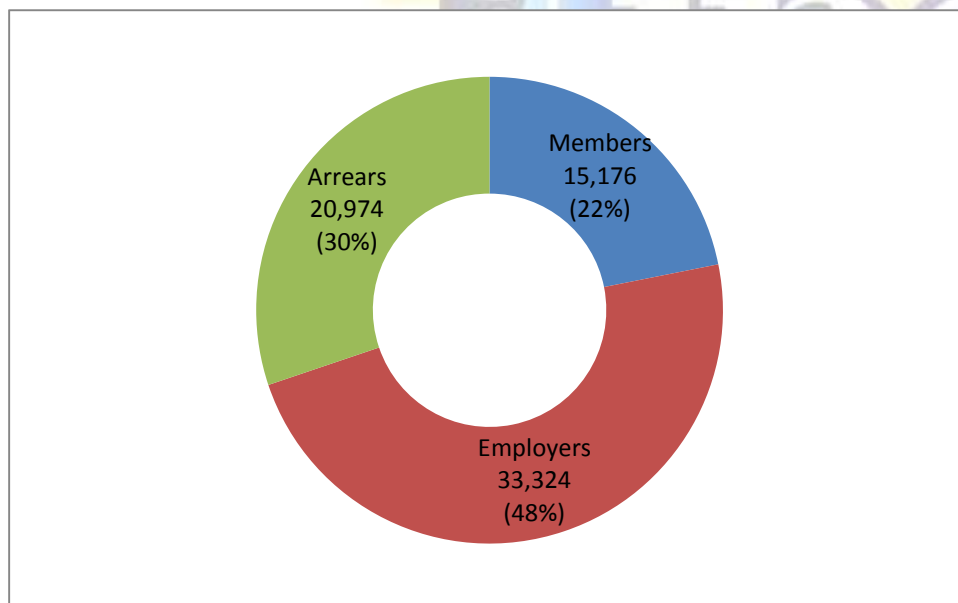
3.0 Contributions

Employers contributed \$33million or 48% of received contributions (December 2012:50% or \$24million) whilst employees injected \$15million or 22%(December 2012:\$13million or 27%) of total contributions. However contribution arrears closed the year 2013 at \$21million or 30% of total contributions. Efforts are ongoing to ensure full payment to insurer administrators (See Table 3 and Figure 2below).

Table 3: Contributions Statistics for Insured Self-Administered Funds for the third quarter ended 31 December 2013

Insurer	Contributions(000)						Arrear Contributions(000)						Total Contributions(000)		
	Members			Employers			Members			Employers					
	Dec 12	Dec 13	Growth	Dec 12	Dec 2012	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth
First Mutual	3,107	4,232	36%	4,923	10,161	106%	-	-	-	4,617	13,400	190%	12,647	27,793	120%
Old Mutual	9,864	10,491	6%	19,431	22,646	17%	-	-	-	6,432	7,525	17%	35,727	40,662	14%
Altfin	*	289	-	*	258	-	23	-	-	*	26	-	-	596	-
Zimnat	*	164	-	*	259	-	-	-	-	*	-	-	*	423	-
Totals	12,971	15,176	17%	24,354	33,324	37%	23	-	-	11,049	20,951	90%	48,374	69,474	44%

Figure 2: Contribution Statistics for Insured Self-Administered Funds for the quarter ended 31 December 2013(000)



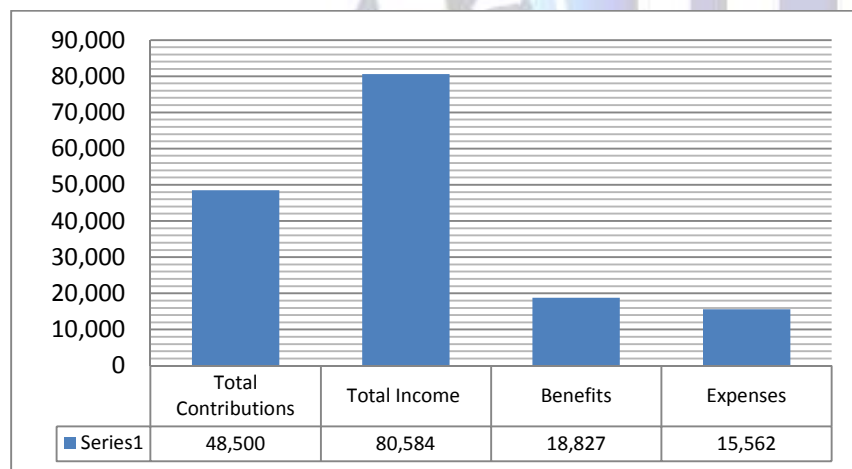
4.0 Income and Expenditure

For the year ended 31 December 2013, insurers reported total income of \$81million (December 2012:\$61million).The expense to total income ratio was 19%,a 9% rise from the previous reporting period whilst the cost to contribution ratio also rose by 14% to 32%. To this end, IPEC continues to engage funds to rationalize their cost structures given the current poor investment returns in order to improve member values and benefits (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Insurer for Self Administered Funds for the quarter ended 31 December 2013

Insurer	Total Contributions(Excl arrears) (000)			Total Income (000)			Total Paid Benefits(000)			Expenses(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth
First Mutual	8,029	14,393	79%	18,749	15,961	(15%)	216	2,571	1090%	1,996	3,598	80%	25%	25%	-	11%	23%	12%
Old Mutual	29,295	33,137	13%	43,059	63,465	47%	13,128	16,130	23%	4,641	11,918	157%	16%	36%	20%	11%	19%	8%
Altfin	*	547	-	*	613	-	*	2	-	*	7	-	*	1%	-	-	-	-
Zimnat	*	423	-	*	545	-	*	124	-	*	39	-	*	-	-	-	-	-
Totals	37,323	48,500	30%	61,088	80,584	32%	13,344	18,827	41%	6,637	15,562	134%	18	32%	14%	11%	19%	9%

Figure 3: Income and Expenditure for Insured Self Administered Funds for the quarter ended 31 December 2013 (\$'000)



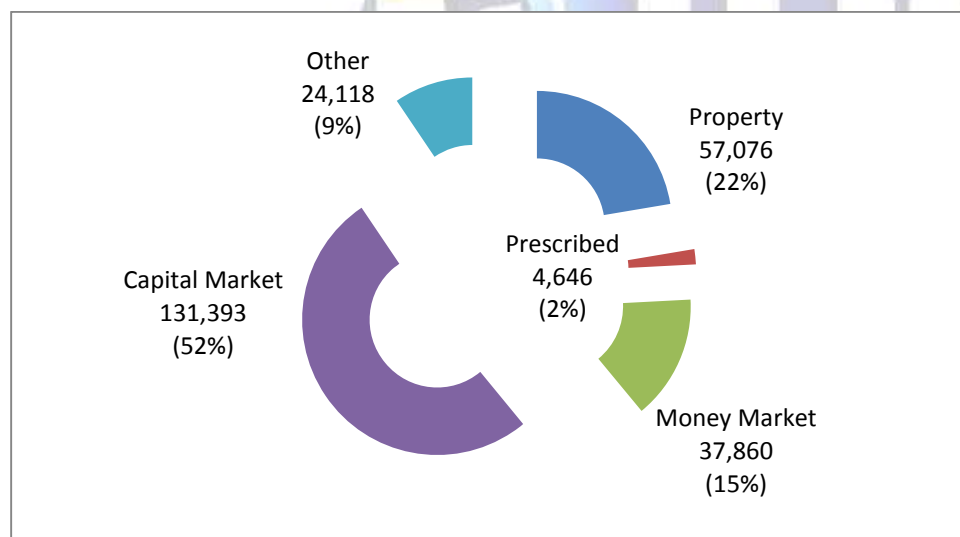
5.0 Fund Assets

For the quarter under review, insurer administered funds held assets in properties {22% or \$57million, December 2012: 26% or \$50million }, equities {52% or \$131million,December 2012: 53% or \$100million, }, money market {15% or \$38million,December 2012: 13% or \$24million } and other assets {\$24million or 9%,December 2012:7% or \$13million }.Prescribed assets uptake was still low at 2%.As paper availability improves, the Commission expects compliancy levels to firm up (See Table 5 and Figure 4, below).

Table 5: Fund Asset Statistics At Market Value for Insured Self Administered Funds for the quarter ended 31 December 2013

Fund Name	Immovable Property\$(000)			Prescribed Assets\$(000)			Money Market Securities\$(000)			Capital Market Securities\$(000)			Other\$(000)			Total\$(000)		
	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth
First Mutual	353	3,517	896%	31	521	1581%	24	78	225%	9,394	18,636	98%	6,086	15,184	149%	15,888	37,936	139%
Old Mutual	49,773	53,556	8%	3,124	4,057	30%	24,155	37,112	54%	91,049	110,352	21%	7,192	8,878	23%	175,293	213,955	22%
Altfin	*	3	-	*	37	-	*	733	-	*	716	-	*	41	-	*	1,530	-
Zimnat	*	-	-	*	31	-	*	(63)	-	*	1,689	-	*	15	-	*	1,672	-
Totals	50,126	57,076	14%	3,155	4,646	47%	24,179	37,860	57%	100,443	131,393	31%	13,278	24,118	82%	191,181	255,093	33%

Figure 4: Fund Assets \$(000)



The logo of the Insurance & Pensions Commission (IPEC) is a circular emblem. It features a central white dove with its wings spread, perched on an open book. The word "ipec" is written in a large, white, lowercase serif font across the middle. The outer ring of the emblem contains the text "Insurance & Pensions Commission" in a smaller, white, sans-serif font. The entire emblem is set against a blue background with a yellow border.

SECTION C:
FUND ADMINISTRATORS

1.0 The Number of Fund Administrators

This report is based on 135 funds spread among four administrators (See Table 1, below).

Table 1: Fund Administrators

Fund Administrator	Dec 12	Dec 13	Increase/Decrease
Aon Consulting	58	58	-
Comarton Consultants	30	28	(2)
Marsh	43	45	2
ZIB	*	4	-
TOTALS	131	135	-

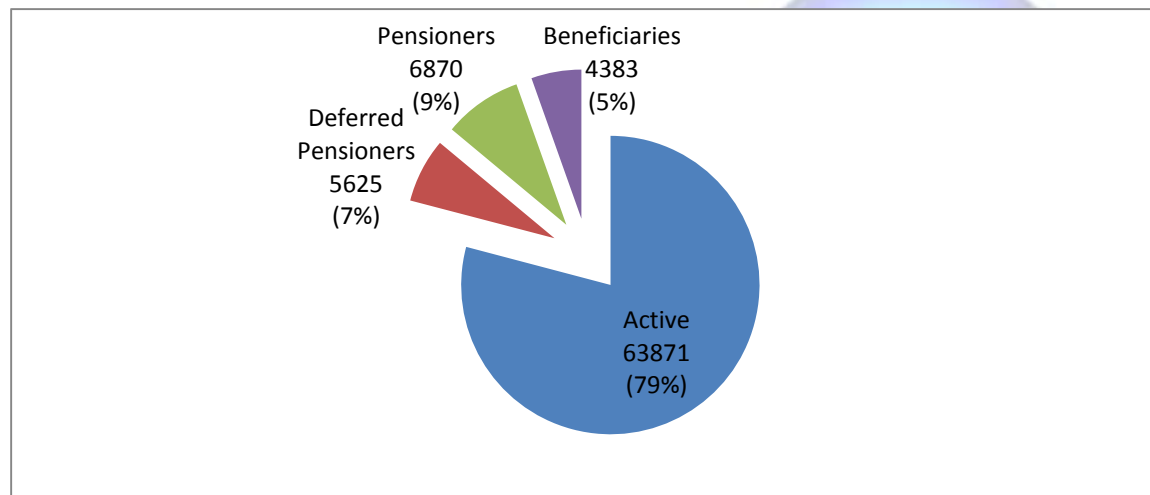
2.0 Pension Fund Membership

For the year under review, the four fund administrators reported total fund membership of 81 000. The active members made up 69% or 64 000 (December 2012: 66 000 or 81%) of total membership, pensioners and beneficiaries numbered 11 000 or a 14% share (December 2012: 11 % or 9000) whilst deferred pensioners constituted the balance of 7% (See Table 2 and figure 1 below).

Table 2: Membership for Self Administered Funds for the third quarter ended 31 December 2013

Administrator	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth
Aon	33671	32292	(4%)	1275	654	(49%)	554	1402	153%	-	818	-	(134)	1694	1164%	35500	35166	(1%)
Comarton	16449	14621	11%	938	516	(45%)	1893	2130	13%	1613	1760	9%	(141)	231	64%	20893	19027	(8%)
Marsh	16162	16,958	5%	4141	4455	8%	3174	3338	5%	1787	1805	1%	(275)	345	25%	25264	26556	5%
ZIB	*	427	-	*	-	-	*	-	-	*	5	-	*	-	-	*	432	-
Totals	66282	63871	(4%)	6354	5625	(11%)	5621	6870	22%	3400	4383	29%	(550)	(2270)	313%	81657	80749	(1%)

Figure 1: Membership for the third quarter ended 31 December 2013



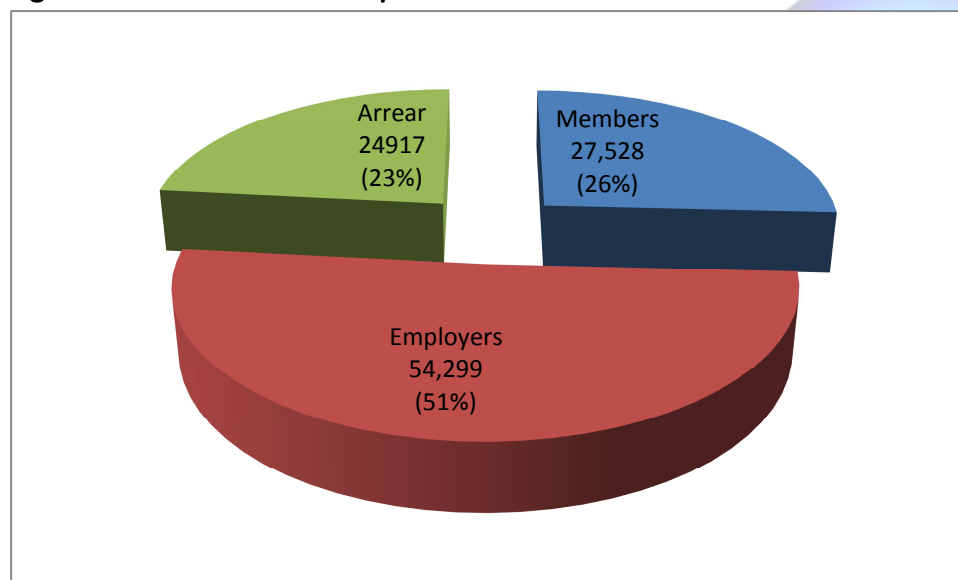
3.0 Contributions

For the under review, fund administrators reported their contributions book as shown in Table 3 and Figure 2 below.

Table 3: Contributions Statistics for Self Administered Funds for the third quarter ended 31 December 2013

Fund Name	Contributions(000)						Arrear Contributions(000)						Total Contributions(000)		
	Members			Employers			Members			Employers					
	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth
Aon	3,596	13,788	283%	5,001	22,981	360%	400	1,581	295%	1,727	4,300	149%	10,724	42,560	297%
Comarton	2,324	2,328	-	7,084	5,741	(19%)	891	1,026	15%	2,307	11,216	386%	12,606	20,311	61%
Marsh	7,813	11,312	45%	7,654	25,688	236%	-	-	-	5,360	6,794	27%	20,827	43,794	110%
ZIB	*	100	-	*	89	-	*	-	-	*	-	-	*	189	-
Total	13,733	27,528	100%	19,739	54,299	175%	1,291	2,607	102%	9,394	22,310	137%	44,157	106,854	142%

Figure 2: Contributions Composition



Active fund members contributed \$28million or \$ 26% of the global figure(December 2012: \$14million or \$ 31%) whilst employers contributed \$54million or 51%(December 2012: \$20 million or 44 %).

For the year ended 31 December 2013, contribution arrears constituted\$25million or 23% of total contributions(December 2012: 24% or \$11million).The Commission closely monitors this challenge on a quarterly basis and payment plans pledged by players with a view to mitigate same.

4.0 Income and Expenditure

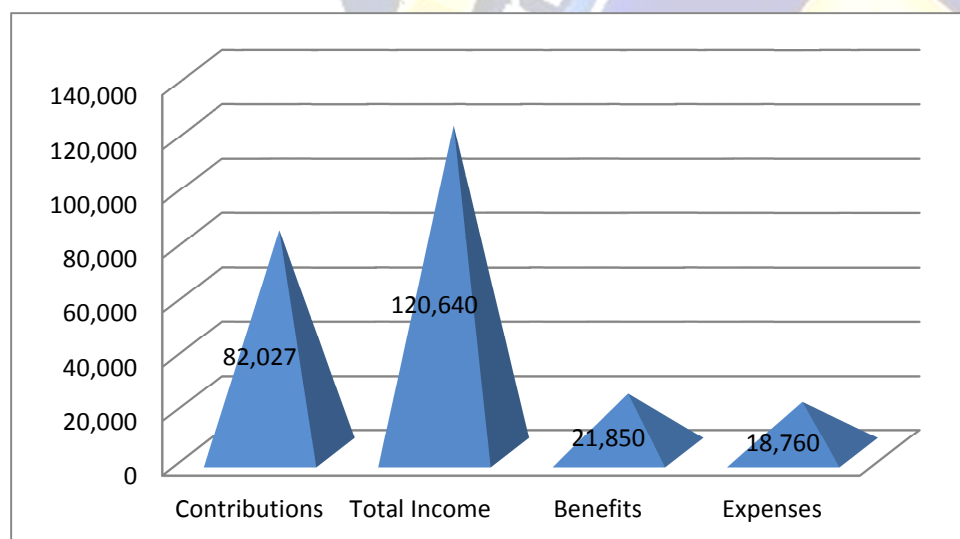
For the year under review, total contributions and income received by fund administrators were \$82million and \$121 million respectively against expenses of \$19million .This resulted in cost to contribution and expense to total income ratio of 23% and 16% respectively.

Benefits paid were in the sum of \$22million which was almost at par with the cost bill .The Commission will continue to monitor expense ratios in a bid to enhance member benefits (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure for Self-Administered Funds for the third quarter ended 31 December 2013

Fund Name	Total Contributions(Excl arrears) (000)			Total Income (000)			Total Paid Benefits(000)			Expenses(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 13	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth
Aon	8,597	36,769	328%	19,655	54,751	179%	8,176	9,877	21%	6,518	5,990	(8%)	76%	16%	(60%)	33%	11%	22%
Comarton	9,408	8,069	(14%)	14,568	19,323	33%	3,293	3,594	9%	4,945	4,611	(7%)	53%	57%	(4%)	34%	24%	(10%)
Marsh	15,467	37,000	139%	26,162	46,372	77%	6,319	8,370	32%	6,782	8,152	20%	44%	22%	(22%)	26%	18%	(8%)
ZIB	*	189		*	194		*	9		*	9		*	5%	-	*	5%	-
Totals	33,472	82,027	145%	60,385	120,640	100%	17,788	21,850	23%	18,245	18,760	3%	55%	23%	(32%)	30%	16%	(14%)

Figure 3: Income and Expenditure \$ (000)



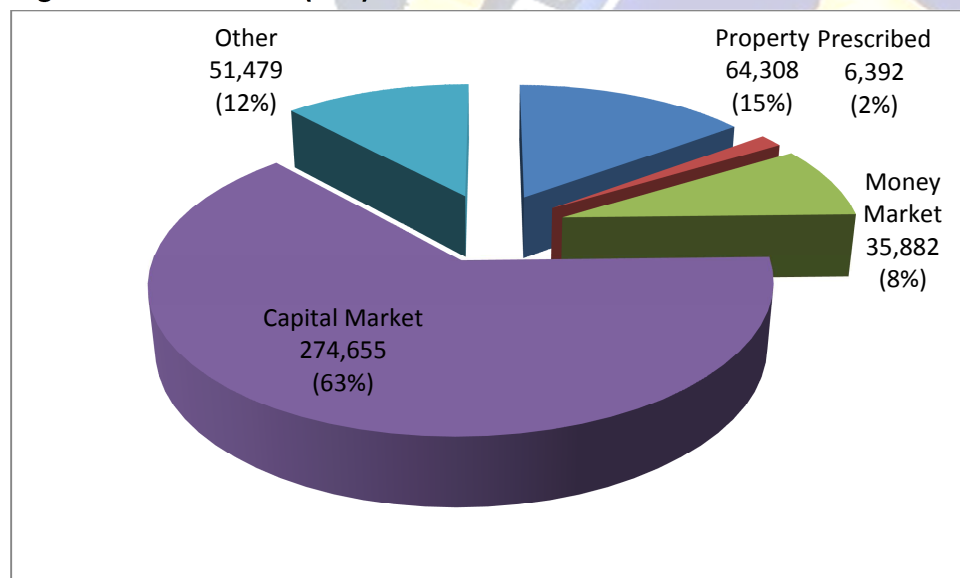
5.0 Fund Assets

For the current review period, fund administrators held 15% or \$64million in properties (December 2012: 19% or \$67million), 63% or \$275million in the capital market (December 2012: 54% or \$191million), money market- 8% or \$36million(December 2012: 17% or \$62million) and the balance of 12% and 2% in other assets and prescribed assets respectively .(See Table 5 and Figure 4, below).

Table 5: Fund Asset Statistics At Market Value for Self Administered Funds for the third quarter ended 31 December 2013

Fund Name	Immovable Property(000)			Prescribed Assets(000)			Money Market Securities(000)			Capital Market Securities(000)			Other(000)			Total(000)		
	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth	Dec 12	Dec 13	Growth
Aon	24,028	20,736	(14%)	6,181	-	-	37,771	-	-	81,639	138,926	70%	9,259	31,723	243%	158,878	191,385	20%
Comarton	-	-	-	738	862	17%	9,327	15,017	61%	52,473	44,857	(15%)	2	-	-	62,536	60,736	(3%)
Marsh	43,176	43,572	1%	5,717	5,530	(3%)	14,422	20,865	45%	56,836	90,316	59%	13,444	19,756	47%	133,595	180,039	35%
ZIB	*	-	-	*	-	-	*	-	-	*	556	-	*	-	-	*	556	-
Totals	67,204	64,308	(4%)	12,636	6,392	(49%)	61,520	35,882	(42%)	190,948	274,655	44%	22,705	51,479	127%	355,009	432,716	22%

Figure 4: Fund Assets (000)



6.0 Prescribed Assets

The industry's compliance level on statutory paper was 2%. Players are required to participate as availability improves to avoid statutory penalties(See Table6 and 1).

Table 6: List Of Approved Prescribed Asset Paper

Issuer	Bond Name	Bond Description	Tenure	Coupon rate	Issue date
Old Mutual	DIMAF:\$27 million	Funding distressed and marginalized industries	5years	10%	2 January 2013
CBZ	AMA Bills:\$15million	Funding 2013/4 Soya bean farming	272 days	10.5%	4 October 2013
NMB	SME:\$50 million	Funding small to medium enterprises	2years	10%	3 October 2013
FBC /Agribank	Agrobills:\$15million	Funding 2013/4 Soya bean farming	360days	10%	4 October 2013

7.0 Circulars and Statutory Instruments

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table 7: Issued Circulars, Acts and Statutory Instruments

Details	Subject Matter	Issue date
Money Laundering and Proceeds Of Crime Act Chapt 9:24	A Money Laundering and Proceeds Of Crime Act	June 2013
Circular No. 6 of 2013	Insurance and Pensions Housing Fund (IPHF)	27 June 2013
Circular No.5 of 2013	Corporate reporting	20 June 2013
Circular No. 4 of 2013	Seminar on Modernizing Insurance Regulation	9 May 2013
Circular No.1 of 2013	Investment guidelines	20 March 2013
Statutory Instrument 20 of 2013	Capital Requirements for fund administrators	22 February 2013
Statutory Instrument 21 of 2013	Capital Requirements for Insurance companies	22 February 2013

Conclusion

The report highlights the major challenges for the industry as arrear contributions, high expense ratios not matched neither by favorable investment returns nor viable investment avenues, low benefits among others. In light of these challenges, pension funds should always seek to meet fund objectives such as income replacement through better investment decisions and adhering to good practices of corporate governance. Most importantly, pension funds are encouraged to have clear and transparent service level agreements with their service providers which are not prejudicial to the Fund.

